

AAPL: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2025 vs FY2024
Run date	2026-09-23
Conversation id	05fa476353e24b1c
Runtime	152.756s
Tokens (in / out)	98,338 / 31,980
Bull claims	5 kept, 1 removed
Bear claims	6 kept, 0 removed

Bull case

1. Apple's revenue increased to \$416,161 million in fiscal 2025 from \$391,035 million in fiscal 2024, representing a 6.43% year-over-year growth. [F1] [F2] [C1]
2. Net income rose to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, and net income margin increased by +2.94 percentage points to 26.92% in fiscal 2025. [F3] [F4] [C18] [C6]
3. Apple's gross profit margin increased to 46.91% in fiscal 2025, an increase of +0.70 percentage points from 46.21% in fiscal 2024, and its operating income margin increased to 31.97% in fiscal 2025, up +0.46 percentage points from 31.51% in fiscal 2024. [C2] [C16] [C3] [C4] [C17] [C5]
4. The company reduced debt to equity from 169.73% in fiscal 2024 to 122.98% in fiscal 2025, and increased its return on equity to 171.42% in fiscal 2025 from 157.41% in fiscal 2024. [C13] [C12] [C14] [C15]
5. In fiscal 2025, iPhone net sales increased due to higher sales of Pro models, Mac net sales increased due to laptops and desktops, iPad net sales increased due to iPad Air, mini, and standard iPad, and Services net sales increased due to advertising, App Store, and cloud services. [P12]

1 claim(s) removed by the critic after 2 revision round(s); see the critic log.

Bear case

1. Free cash flow decreased to \$98,767 million in fiscal 2025 from \$108,807 million in fiscal 2024. [C8] [C9]
2. Greater China net sales decreased to \$64,377 in fiscal 2025 compared to \$66,952 in fiscal 2024, primarily due to lower net sales of iPhone. [P11]
3. Net sales for Wearables, Home and Accessories decreased to \$35,686 in fiscal 2025 compared to \$37,005 in fiscal 2024. [P12]
4. The company faces significant competition, including aggressive price cuts and competitors offering products at little to no profit, and holds a minority market share in global smartphone, personal computer, tablet, and wearables markets. [P2] [P5]
5. The company is exposed to significant risks from dependence on single or limited-source component suppliers, potential supply shortages, and price increases, as well as challenges in managing new technologies and production ramp-up issues. [P3] [P5] [P9]
6. Additional risks include geopolitical factors, natural disasters, cybersecurity attacks, and legal and regulatory compliance issues. [P4] [P6] [P7] [P8]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	2	4
bull	1	4	2
bull	2	5	1
bear	0	5	1
bear	1	6	0

Planted error (bull, perturb): CAUGHT

Original: Apple improved its gross profit margin to 46.91% in fiscal 2025, an increase of +0.70 percentage points from 46.21% in fiscal 2024, and its operating income margin to 31.97% in fiscal 2025, up +0.46 percentage points from 31.51% in fiscal 2024.

Planted: Apple improved its gross profit margin to 46.91% in fiscal 2025, an increase of +0.70 percentage points from 46.21% in fiscal 2024, and its operating income margin to 31.97% in fiscal 2025, up +0.46 percentage points from 33.72% in fiscal 2024.

Bull, round 0: rejected claims

- Apple demonstrated robust top-line expansion, with revenue increasing to \$416,161 million in fiscal 2025 from \$391,035 million in fiscal 2024, representing a 6.43% year-over-year growth.
unsupported: The term "robust top-line expansion" is a qualitative judgment not directly supported by the raw numbers or standard interpretations.
- The company achieved substantial growth in net income, rising to \$112,010 million in fiscal 2025 from \$93,736 million in fiscal 2024, alongside a notable increase in net income margin by +2.94 percentage points to 26.92% in fiscal 2025.
unsupported: The terms "substantial growth" and "notable increase" are qualitative judgments not directly supported by the raw numbers or standard interpretations.
- Apple improved its gross profit margin to 46.91% in fiscal 2025, an increase of +0.70 percentage points from 46.21% in fiscal 2024, and its operating income margin to 31.97% in fiscal 2025, up +0.46 percentage points from 33.72% in fiscal 2024.

value_mismatch: 33.72% does not match [C5] operating_income_margin FY2024 = 31.51%; unsupported: The claim states that the operating income margin increased by +0.46 percentage points from 33.72% in fiscal 2024 to 31.97% in fiscal 2025. This is an internal contradiction, as 31.97% is lower than 33.72%, indicating a decrease, not an increase.

- Apple's growth is significantly driven by its robust ecosystem, including the App Store and subscription-based services like Apple Arcade, Apple Fitness+, Apple Music, Apple News+, and Apple TV, which contributed to increased net sales in Americas, Europe, Japan, and Rest of Asia Pacific in fiscal 2025.
unsupported: The claim includes qualitative judgments such as "significantly driven" and "robust ecosystem" and makes a causal statement about overall growth that is not explicitly stated or quantified in the provided passages.

Bull, round 1: rejected claims

- The company strengthened its financial health by reducing debt to equity from 169.73% in fiscal 2024 to 122.98% in fiscal 2025, while also increasing its return on equity to 171.42% in fiscal 2025 from 157.41% in fiscal 2024.
unsupported: The claim makes a judgment about the company having 'strengthened its financial health,' which is an interpretation not explicitly stated or directly supported by the provided figures alone. While the figures show positive changes in debt-to-equity and return on equity, the conclusion about 'strengthened financial health' is not a direct reporting of numbers or a standard interpretation by definition.
- Apple's growth is driven by its ecosystem, which includes the App Store and subscription-based services like Apple Arcade, Apple Fitness+, Apple Music, Apple News+, and Apple TV, and these services contributed to increased net sales in Americas, Europe, Japan, and Rest of Asia Pacific in fiscal 2025.
unsupported: The claim states that 'Apple's growth is driven by its ecosystem.' While Passage P1 describes the ecosystem components (App Store, Apple Arcade, etc.) and Passage P11 and P12 indicate that Services net sales increased and contributed to regional net sales increases, the passages do not explicitly state that the ecosystem is the primary driver of Apple's overall growth. This is a causal statement about overall company growth that is not fully supported.

Bull, round 2: rejected claims

- Apple's growth is driven by its ecosystem, which includes the App Store and subscription-based services like Apple Arcade, Apple Fitness+, Apple Music, Apple News+, and Apple TV, and these services contributed to increased net sales in Americas, Europe, Japan, and Rest of Asia Pacific in fiscal 2025.
unsupported: The claim states that 'Apple's growth is driven by its ecosystem'. While the passages describe the ecosystem and its components, and confirm that 'Services' (part of the ecosystem) contributed to increased net sales in the specified regions, the passages do not explicitly state that the overall company's growth is 'driven by its ecosystem'. This is a causal judgment not directly supported by the text.

Planted error (bear, perturb): CAUGHT

Original: Free cash flow decreased to \$98,767 million in fiscal 2025 from \$108,807 million in fiscal 2024.

Planted: Free cash flow decreased to \$98,767 million in fiscal 2025 from \$116,423 million in fiscal 2024.

Bear, round 0: rejected claims

- Free cash flow decreased to \$98,767 million in fiscal 2025 from \$116,423 million in fiscal 2024.
value_mismatch: \$116,423 million does not match [C9] free_cash_flow FY2024 = \$108,807 million

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2025: \$416,161 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
F2	revenue FY2024: \$391,035 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C1	revenue_yoy_growth FY2025: 6.43%	(revenue FY2025 - FY2024) / FY2024 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
F3	net_income FY2025: \$112,010 million	NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
F4	net_income FY2024: \$93,736 million	NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C18	net_income_margin_change FY2025: +2.94 percentage points	net_income_margin FY2025 - FY2024; inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C6	net_income_margin FY2025: 26.92%	net_income / revenue (FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C2	gross_profit_margin FY2025: 46.91%	gross_profit / revenue (FY2025); inputs: GrossProfit [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C16	gross_profit_margin_change FY2025: +0.70 percentage points	gross_profit_margin FY2025 - FY2024; inputs: GrossProfit [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; GrossProfit [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C3	gross_profit_margin FY2024: 46.21%	gross_profit / revenue (FY2024); inputs: GrossProfit [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28

ID	Evidence	Source
C4	operating_income_margin FY2025: 31.97%	operating_income / revenue (FY2025); inputs: OperatingIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C17	operating_income_margin_change FY2025: +0.46 percentage points	operating_income_margin FY2025 - FY2024; inputs: OperatingIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; OperatingIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C5	operating_income_margin FY2024: 31.51%	operating_income / revenue (FY2024); inputs: OperatingIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C13	debt_to_equity FY2024: 169.73%	long_term_debt / shareholders_equity (FY2024); inputs: LongTermDebt [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C12	debt_to_equity FY2025: 122.98%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C14	return_on_equity FY2025: 171.42%	net_income FY2025 / avg(stockholders_equity FY2024, FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
C15	return_on_equity FY2024: 157.41%	net_income FY2024 / avg(stockholders_equity FY2023, FY2024); inputs: NetIncomeLoss [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; StockholdersEquity [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2023-09-30
P12	Item 7 passage Products and Services Performance The following table shows net sales by category for 2025, 2024 and 2023 (dollars in millions): 2025 Change 2024 Change 2023 iPhone \$209,586 4% \$201,183 -% \$200,583 Mac 33,708 12% 29,984 2% 29,357 iPad 28,023 5% 26,694 (6)% 28,300 Wearables, Home and Accessories 35,686 (4)% 37,005 (7)% 39,845 Services (1) 109,158 ...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 7, fixed-0054

ID	Evidence	Source
C8	free_cash_flow FY2025: \$98,767 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2025-09-27
C9	free_cash_flow FY2024: \$108,807 million	operating_cash_flow - capex (FY2024); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000320193-25-000079 filed 2025-10-31, period ending 2024-09-28
P11	Item 7 passage and duration of these measures. Trade and other international disputes can have an adverse impact on the overall macroeconomic environment and result in shifts and reductions in consumer spending and negative consumer sentiment for the Company's products and services, all of which can further adversely affect the Company's business and results of operations. Segment Operating Performance The follo...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 7, fixed-0053
P2	Item 1A passage the Company faces significant competition as competitors imitate the Company's product features and applications within their products to offer more competitive solutions. The Company also expects competition to intensify as competitors imitate the Company's approach to providing components seamlessly within their offerings or work collaboratively to offer integrated solutions. Some of the Company...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0019
P5	Item 1 passage as well as established hardware, software, and service offerings with large customer bases. In addition, the Company faces significant competition as competitors imitate the Company's product features and applications within their products to offer more competitive solutions. The Company also expects competition to intensify as competitors imitate the Company's approach to providing components sea...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1, fixed-0008
P3	Item 1A passage and the timely and successful development and market acceptance of new products, services and technologies. Success also relies on the Company's ability to manage the risks associated with new technologies and production ramp-up issues, the effective integration of third-party services and technologies into the Company's products and services, the availability, delivery and performance of applicat...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0020
P9	Item 1A passage source. When a component or product uses new technologies, initial capacity constraints may exist until the suppliers' yields have matured or their manufacturing capacities have increased. The Company may not be able to extend or renew agreements for the supply of components on similar terms, or at all, and may not be successful in obtaining sufficient quantities from its suppliers in a timely man...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0022

ID	Evidence	Source
P4	Item 1A passage factors, including whether additional or incremental U.S. Tariffs or other measures are announced or imposed, to what extent other countries implement tariffs or other retaliatory measures in response, and the overall magnitude and duration of these measures. If disputes and conflicts further escalate, actions by governments in response could be significantly more severe and restrictive. Many of t...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0016
P6	Item 1A passage things, can result in the delay or loss of customer orders or impede customer access to the Company's products and services. While the Company maintains insurance coverage that is intended to address certain aspects of data security risks, such insurance coverage may be insufficient to cover all losses or all types of claims that may arise. Investment in new business strategies, commercial relatio...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0031
P7	Item 1A passage its vendors' business continuity and disaster recovery planning may not be sufficient for all eventualities. Such failures or disruptions can adversely impact the Company's business by, among other things, preventing access to the Company's online services, interfering with customer transactions or impeding the manufacturing and shipping of the Company's products. These events could materially adv...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0029
P8	Item 1A passage and payment card data are subject to additional privacy, security and breach notification requirements, and the Company is subject to audit by governmental authorities regarding the Company's compliance with these obligations. If the Company fails to adequately comply with these rules and requirements, the Company can be subject to litigation or government investigations, can be liable for associa...	AAPL 10-K accn 0000320193-25-000079 (period 2025-09-27), Item 1A, fixed-0040